BGIN Block #9 Meeting Report

- Rebuilding Value, Governance and Reputation on Blockchain -

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The Global Network for Blockchain Stakeholders™

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3.9. DTWG Interactive Workshop Session 3: CBDC and Privacy

Date: Nov 20, 2023
Time: 15:30 - 17:00
Session Chair: Joseph Beverley (Soulbis, Local Chair)

1. Discussion points

- You can't achieve privacy through anonymity. Privacy and anonymity are not the same thing. Privacy means that there is data that is discoverable and disclosable under certain conditions, permissions, and protections. The idea of governments enabling complete anonymity across CBDC activities is a non-starter.

- What are the ways to put privacy controls around activities with CBDC? Is there a way that governments should be okay with allowing any type of transaction with no discoverability? The answers are unique based on the jurisdictional context.

- As an investigator, gaining access to financial data that the government possesses is very difficult. Simply because the government possesses data it does not mean they can access it. But governments also legislate what the thresholds are and how they are applied, and perhaps what the criteria are is not always clear. There should be a discussion around data access vs possession.

- The concept of privacy has evolved over time. It has since evolved to the right of control over personal information. But in academic areas, the concept of privacy has evolved even further and some academics argue that the right of privacy is the right to control your personality. How should you mitigate the risks of profiling is becoming a key topic. In the context of CBDC, the confidentiality of the legal entity data would need to be considered, as the limitation of privacy is that it only applies to natural persons.

- If central banks were to introduce CBDC, A desirable feature might be a cash-like one. The central bank does not have any motivation to possess personal data. Having or accessing personal data might do harm to their credibility. Besides, concerns about privacy might have a bad influence on the adoption of CBDC. If looking at the positive aspects of privacy-preserving features, it might mitigate the risks of data enclosure by BigTech and empower customers' bargaining power on their personal data. However, the privacy feature of CBDC cannot be limitless. The failure to comply with AML/CFT could significantly harm the confidence of

a CBDC system itself. Another issue is the necessity of a measure to mitigate the impact to the financial system.

- one of the beautiful things about CBDCs rather than smart contracts is that you can encode them. You can encode the rules of a CBDC in such a way that complies with legislation so that you can actually test out and see, do we like this or do we not like this? Is this enough privacy or not? This type of technical study has not been conducted yet.
- Fitting code to legislation or changing legislation to fit the use case?: design should come first and legislations should follow. We shouldn't excessively persist to the existing legal regimes, and instead we should think over the optimal design of CBDC first and consider how we could fit the design to the legal arrangements.
- If you cant get legislative support to enace a framework that allows it, the beauty of perfect stablecoin with perfect levels of privacy with perfect operators does not matter because you can't get people to mobilize in a democratic environment. We have to go to the level of how we sell it.
- In many jurisdictions trust over the commercial banks are quite high. Most central banks are aiming to introduce CBDC in a 2-tier distribution model wheere the commercial banks or other intermediaries expect to work as intermediaries for CBDC and the data that can identify specific person should be exclusively stored within commercial banks and for exceptional occasions at central bank. In these models, the governments have no access to such personal identifiable data.

2. Next Steps

- A list of fundamental questions to be discussed
    - What data do you want observable and disobservable by whom? What information do you want the financial institutions that are part of the CBDC system to see?
    - What do you want other nations to be able to see in cross-boarder retail use cases? What are the restrictions and censorship of use that you would want between the issuing nation and the nation in which the currency is being used? Is there any agreements that international partners might want to come to

- After answering such fundamental building-block questions, we can discuss what are the privacy enhancing technologies and what are the digital identity solutions and systems that are needed.